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JB3501 – Business Strategy

Tutorials

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Objectives

- To understand the links between strategic choices, capability, and the ways in which they can create competitive advantage.
- To examine threats to firm's sustainability.
- To improve research skills.

Synopsis

This case focuses on Inditex, an apparel retailer from Spain, which has set up an extremely quick response system for its Zara chain. Instead of predicting what individuals will want to wear months before a season starts, Zara observes what's selling and what's not and continuously adjusts what it produces and merchandises. Powered by Zara's success, Inditex has expanded into 39 countries, making it one of the most global retailers in the world.

[Taken from Harvard Business Publishing].

Task:

1. With additional research, explain the linkages between Zara's choices about how to compete, particularly ones connected to its quick response, and the ways in which they create competitive advantage?
2. What are your observations about such capabilities as bases for competitive advantage?
3. Why might Zara fail? How sustainable would you calibrate its competitive advantage relative to the advantages typically pursued by other apparel retailers?

Indicative answer

Thank you!!!!